

July 14, 2026 10:09 AM GMT

Shenzhen Capchem Technology Co Ltd | Asia Pacific

Riding on the Semiconductor Materials Upcycle; Upgrade to OW

WHAT'S CHANGED

Shenzhen Capchem Technology Co Ltd (300037.SZ)	From	To
Rating	Equal-weight	Overweight
Price Target	Rmb30.00	Rmb93.00

We believe Capchem offers semiconductor materials exposure that is increasingly supported by earnings fundamentals. Over the next two years, we expect the company's earnings and valuation drivers to shift from electrolytes to electronic chemicals. We upgrade to OW.

Semiconductor materials exposure with earnings support. Capchem's exposure to the semiconductor value chain mainly comes from supplying cooling and cleaning chemicals to semiconductor fabrication plants. Most of its customers are located in mainland China, as well as Korea and Japan. The company expects its electronic information chemicals segment to deliver 40-50% CAGR, 2026-28e, driven by strong downstream semiconductor demand and import substitution. Together with steady improvements in fluorine chemicals and capacitor chemicals, we think the company's net profit can rise from ~Rmb2.2bn in 2026e to ~Rmb3bn in 2028e.

Looking beyond 2026, we expect the company's growth and valuation drivers to shift from electrolytes to electronic chemicals. In 2026, we expect most earnings growth to come from Capchem's battery electrolyte business, as profitability in its acquired LiPF6 business recovers. In our view, this recovery may not be sustainable given the significant LiPF6 capacity additions expected to begin in 2H26.

Nevertheless, we do not expect potential profitability pressure in electrolytes to materially impact the share price, as the company's growth outlook beyond 2026 will shift to electronic chemicals. This segment offers a higher growth profile and commands higher valuation multiples. We estimate electronic chemicals will account for ~40% of the company's total gross profit, up from 30% in 2025.

Raising PT, upgrading to OW. We raise our 2026-27e net profit forecasts by 33% and 4%, respectively, and introduce 2028e forecasts. We roll our valuation forward to 2027e, as we think the market has largely looked beyond 2026 earnings. We also lift our valuation multiples to reflect a stronger-than-expected growth outlook. We value the company's electrolyte business at 15x 2027e P/E, fluorine chemicals at 30x 2027e P/E, and electronic chemicals at 40x 2027e P/E, based on our new growth forecasts. Our new SoTP-derived PT is Rmb93, implying 32x 2027e P/E.

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Asia Summer School 2026

Shenzhen Capchem Technology Co Ltd (300037.SZ, 300037 CS)

China Energy & Chemicals | China

Stock Rating	Overweight
Industry View	In-Line
Price target	Rmb93.00
Up/downside to price target (%)	34
Shr price, close (Jul 14, 2026)	Rmb69.25
52-Week Range	Rmb96.08-32.69
Sh out, dil, curr (mn)	767
Mkt cap, curr (mn)	Rmb53,138.3
EV, curr (mn)	Rmb54,896.1
Avg daily trading value (mn)	Rmb1,426

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.43	2.83	2.93	3.93
Prior EPS (Rmb)**	1.61	2.16	2.85	3.23
EPS (Rmb)§	1.52	2.96	3.60	4.39
Revenue, net (Rmb mn)	9,639.2	14,711.7	16,419.6	17,681.2
EBITDA (Rmb mn)	1,765.3	2,805.5	3,032.1	4,052.9
ModelWare net inc (Rmb mn)	1,097.3	2,172.4	2,247.3	3,014.5
P/E	36.6	24.5	23.6	17.6
P/BV	3.7	4.2	3.8	3.3
RNOA (%)	(2.8)	13.2	13.4	18.2
ROE (%)	11.3	20.1	17.8	21.4
EV/EBITDA	23.8	19.2	17.4	12.7
Div yld (%)	1.0	1.5	1.5	2.0
FCF yld ratio (%)**	0.5	2.7	3.5	4.6
Leverage (EOP) (%)	12.2	2.6	(5.1)	(14.5)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Growth Drivers to Shift to Electronic Chemicals

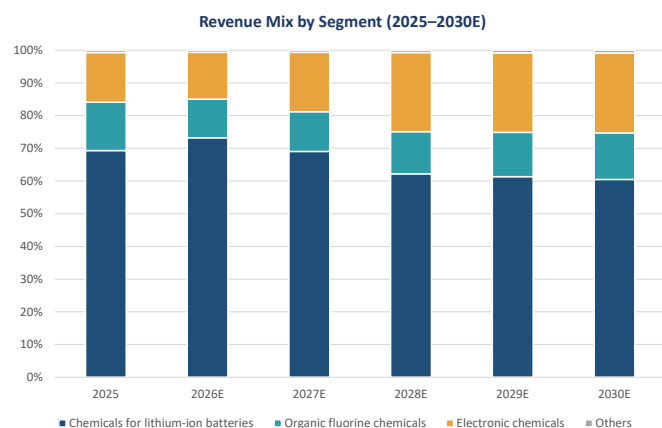
High-quality names with real semiconductor materials exposure and earnings support.

We view Capchem as a high-quality name with an established track record in semiconductor materials. Its product portfolio includes high-purity wet chemicals, etching solutions, semiconductor cooling fluids, and semiconductor cleaning chemicals. The company has entered the supply chains of major domestic semiconductor fabrication plants serving both logic and memory chip production. It also supplies selected semiconductor fabrication plants in Korea and Japan. Beyond semiconductor materials, continued progress in fluorine chemicals and capacitor chemicals should provide support for the company's overall earnings and current valuation.

Earnings driver to shift from electrolytes in 2026 to electronic chemicals thereafter.

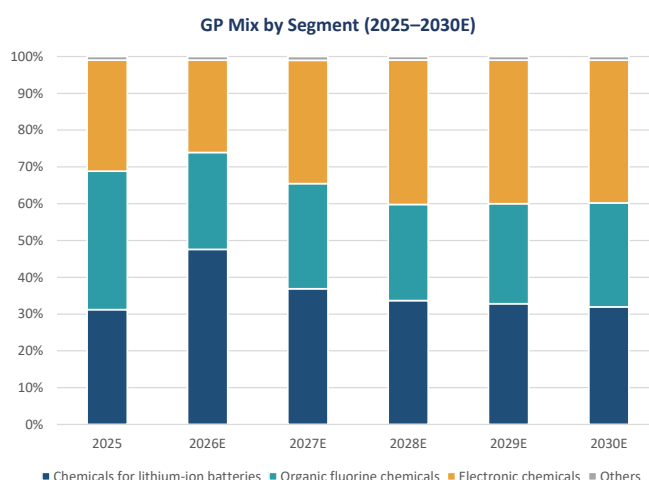
We forecast that a large portion of earnings growth in 2026 will still come from electrolyte-related products, supported by improving profitability of LiPF₆ and additive products. However, we do not think this trend will be sustainable beyond 2026 given the long capacity additions planned for both LiPF₆ and additives beginning in 2H26. Therefore, we forecast a YoY earnings decline for the company's electrolyte business in 2027 and in 2027. Despite this, we think the importance of Capchem's electrolyte business will decline gradually, as electronic chemicals become the company's primary earnings driver over the next three years. We forecast contribution from electronic chemicals to increase from 15% in 2025 to 24% in 2028, while its contribution to total gross profit rises from 30% in 2025 to ~40% in 2028.

Exhibit 1: Revenue composition – Electronic chemicals contribution to rise from 15% in 2025 to 24% in 2028



Source: Company data, Morgan Stanley Research estimates.

Exhibit 2: Gross profit composition – Electronic chemicals contribution to rise from 30% in 2025 to ~40% in 2028



Source: Company data, Morgan Stanley Research estimates.

Earnings revisions and valuation: We raise our 2026 net profit forecasts by 33%, mainly to reflect a stronger-than-expected earnings from both battery electrolytes and electronic chemicals. We lower our 2026 forecasts for fluorine chemicals, partly due to slower-than-expected earnings improvement over the past few years. We raise our 2027 net profit forecast by 4% and adjust our earnings mix assumptions, as we think electronic chemicals will become the company's earnings driver. We also introduce our 2028e forecasts.

Exhibit 3: Capchem – earnings estimate revisions

Rmb mn	FY2026e				FY2027e				FY2028e			
	New	Old	chg%	yoy%	New	Old	chg%	yoy%	New	Old	chg%	yoy%
Sales Volume (t)												
Chemicals for lithium-ion batteries	738,105	410,864	80%	37%	885,726	485,027	83%	20%	1,018,585	n.a.	n.a	15%
Organic fluorine chemicals	13,440	32,400	-59%	20%	15,456	40,500	-62%	15%	17,775	n.a.	n.a	15%
Electronic chemicals	114,954	91,075	26%	40%	160,935	100,917	59%	40%	225,310	n.a.	n.a	40%
GP per ton (Rmb/t)												
Chemicals for lithium-ion batteries	2,600	2,100	24%	92%	1,800	2,500	-28%	-31%	1,800	n.a.	n.a	0%
Organic fluorine chemicals	79,000	105,000	-25%	0%	80,000	105,000	-24%	1%	80,000	n.a.	n.a	0%
Electronic chemicals	8,800	6,556	34%	2%	9,500	6,416	48%	8%	9,500	n.a.	n.a	0%
Revenue	14,712	13,171	12%	53%	16,420	15,833	4%	12%	17,681	n.a.	n.a	8%
Chemicals for lithium-ion batteries	10,776	7,879	37%	61%	11,337	9,486	20%	5%	11,001	n.a.	n.a	-3%
Organic fluorine chemicals	1,734	3,620	-52%	22%	1,994	4,524	-56%	15%	2,275	n.a.	n.a	14%
Electronic chemicals	2,104	1,575	34%	44%	2,977	1,712	74%	42%	4,281	n.a.	n.a	44%
Others	98	98	0%	42%	111	111	0%	14%	124	n.a.	n.a	12%
Gross Profit	4,032	3,538	14%	72%	4,324	4,451	-3%	7%	5,446	n.a.	n.a	26%
Chemicals for lithium-ion batteries	1,919	863	122%	163%	1,594	1,213	31%	-17%	1,833	n.a.	n.a	15%
Organic fluorine chemicals	1,062	2,035	-48%	21%	1,236	2,543	-51%	16%	1,422	n.a.	n.a	15%
Electronic chemicals	1,012	600	69%	43%	1,448	650	123%	43%	2,140	n.a.	n.a	48%
Others	40	40	0%	78%	45	45	0%	13%	50	n.a.	n.a	11%
GP Margin	27%	27%	1 ppt	3 ppt	26%	28%	-2 ppt	-1 ppt	31%	n.a.	n.a	4 ppt
Chemicals for lithium-ion batteries	18%	11%	7 ppt	7 ppt	14%	13%	1 ppt	-4 ppt	17%	n.a.	n.a	3 ppt
Organic fluorine chemicals	61%	56%	5 ppt	0 ppt	62%	56%	6 ppt	1 ppt	63%	n.a.	n.a	0 ppt
Electronic chemicals	48%	38%	10 ppt	0 ppt	49%	38%	11 ppt	1 ppt	50%	n.a.	n.a	1 ppt
Others	41%	41%	0 ppt	8 ppt	40%	40%	0 ppt	0 ppt	40%	n.a.	n.a	0 ppt
SG&A	(1,059)	(948)	12%	63%	(1,117)	(1,140)	-2%	5%	(1,202)	n.a.	n.a	8%
EBIT	2,208	1,931	14%	86%	2,387	2,519	-5%	8%	3,359	n.a.	n.a	41%
EBIT margin	15%	15%	0 ppt	3 ppt	15%	16%	-1 ppt	0 ppt	19%	n.a.	n.a	4 ppt
Financial cost, net	(76)	(72)	6%	69%	(67)	(58)	17%	-11%	(50)	n.a.	n.a	-27%
PAT	2,194	1,653	33%	100%	2,270	2,176	4%	3%	3,045	n.a.	n.a	34%
Net income	2,172	1,635	33%	98%	2,247	2,152	4%	3%	3,015	n.a.	n.a	34%
NI margin	15%	12%	2 ppt	3 ppt	14%	14%	0 ppt	-1 ppt	17%	n.a.	n.a	3 ppt
DPS	1.01	0.65	55%	103%	1.05	0.86	22%	3%	1.40	n.a.	n.a	34%
Adjusted EPS	2.83	2.16	31%	98%	2.93	2.85	3%	3%	3.93	n.a.	n.a	34%

Source: Company data, Morgan Stanley Research estimates.

Valuation: We continue to use SoTP to value Capchem. We lift our valuation multiples to reflect the revised earnings trajectory and changing earnings mix. We roll our valuation forward to 2027e, as we think the market has largely looked beyond 2026 earnings. Please refer to the discussion below for further details on our comparative valuation for each segment.

Exhibit 4: Comparison of old and new valuation multiples

	Old valuation multiples	New valuation multiples	Benchmark peers
SoTP			
Chemicals for lithium-ion batteries	10x P/E	15x P/E	Tinci (002709.SS), Do-Fluoride New Materials (002407.SS)
Organic fluorine chemicals	15x P/E	30x P/E	Haohua (600378.SS), Juhua (600160.SS)
Electronic chemicals	25x P/E	40x P/E	Jianghua Micro (603078.SS), Crystal Clear Electronic Material (300655.SS)
Others	5x P/E	5x P/E	

Source: Company data, Morgan Stanley Research estimates

(1) Chemicals for lithium-ion batteries: We value the company's electrolyte business at 15x 2027e P/E (vs 10x 2025e P/E previously), on par with its electrolyte peers Tinci (002709.SS) and Do-Fluoride New Materials (002407.SS), the largest electrolyte and

LiPF₆ players globally by sales volume. Based on our estimates and consensus, these two names currently trade at an average of 15x 2027e P/E (using Morgan Stanley Research estimates for Tinci and FactSet consensus estimates for Do-Fluoride). Thus, we adopt this valuation multiple to value Capchem's electrolyte business, because we think Capchem's electrolyte business should exhibit similar margin trends to its peers, given a very transparent pricing in this market.

(2) Fluorine chemicals business: Capchem's fluorine chemicals business focuses on higher-end products, so we benchmark its valuation against leading A-share high-end fluorine chemical names. We view Haohua (600378.SS) and Juhua (600160.SS) as the closest peers. Based on FactSet consensus estimates, these two names currently trade at an average of 23x 2027e P/E. We believe Capchem's fluorine chemical business warrants a premium valuation given its more advanced product portfolio and stronger profitability. The segment's gross profit margin exceeds 60%, compared with approximately 25-30% for its peers. **We therefore assign a 30x 2027e P/E to Capchem's fluorine chemicals business (vs 15x 2025e P/E previously), reflecting its superior margin profile.** Valuation for domestic fluorine chemical players that have to semiconductor materials exposure have also expanded significantly YTD. For example, Haohua's forward P/E has risen from 23x at the beginning of 2026 to 35x currently, based on FactSet data. We therefore think this supports our decision to apply a higher valuation multiple for Capchem's fluorine chemicals business.

(3) Electronic chemicals: Given strong market sentiment in the China semiconductor and semiconductor materials space, valuation multiples for domestic electronic chemicals names have risen significantly YTD. We view Jianghua Micro (603078.SS) and Crystal Clear Electronic Material (300655.SS) as the closest peers, as both are leading players in wet electronic chemicals and are expected to benefit from import substitution. [Exhibit 5](#) below shows valuation multiples for these peers have increased substantially, and both peers currently trade at elevated PEG ratios. Against this backdrop, we think it is reasonable to lift the valuation multiple for Capchem's electronic chemicals business from 25x to 40x, reflecting its revised earnings trajectory and growth outlook. **Our current valuation multiple for Capchem's electronics chemicals business implies 1x PEG, at a discount to peers at 3-5x PEG.**

Exhibit 5: Valuation multiples for electronic chemicals names have risen significantly YTD given strong market sentiment in semiconductor materials

	Forward P/E in Jan 2026	Forward P/E now	PEG now
Jianghua Micro (603078.SS)	58x	111x	4.7x
Crystal Clear Electronic Material (300655.SS)	105x	134x	3.4x

Source: FactSet.

As a result of our SoTP valuation, our new PT is Rmb93 (vs. Rmb30 previously) and upgrade the stock to Overweight. Capchem's share price rallied in late 2025, initially driven by the recovery in battery electrolyte earnings. In our view, the market only began to reflect the potential of the electronic chemicals business during 2026, particularly in 2Q26. YTD, the share price has risen by ~30%, vs. 20% for ChiNext index and gains of ~50-100% for other A-share semiconductor materials companies that benefit from import substitution trends. Despite the recent share price appreciation, Capchem continues to trade at a discount to electronic chemicals peers based on current valuation metrics. We

therefore view the recent share price correction as an attractive opportunity for the stock to narrow its valuation gap relative to peers.

Bull case scenario valuation: In this scenario, we assume sustained profitability in the electrolyte business alongside strong growth in electronic chemicals. Specifically, we assume the company's electrolyte business maintains profitability at levels comparable to 1H26, while the electronic chemicals business delivers >50% revenue CAGR, 2026-28e. Our new bull case scenario valuation is Rmb115 (vs. Rmb61 previously).

Bear case scenario valuation: In this scenario, we assume the electronic chemicals business delivers a ~10% revenue CAGR, 2026-28e, reflecting slower-than-expected progress in import substitution and weaker-than-expected semiconductor demand. We also assume profitability in the electrolyte business declines significantly and remains only modestly above breakeven levels. Our new bear case scenario valuation is Rmb35 (vs. Rmb16.50 previously).

Exhibit 6: Capchem – financial summary

Income Statement					
(Rmb mn)	2024	2025	2026E	2027E	2028E
Total revenue	7,847	9,639	14,712	16,420	17,681
-Lithium-ion battery chemicals	5,116	6,679	10,776	11,337	11,001
-Organic fluorine chemicals	1,529	1,426	1,734	1,994	2,275
-Electronics chemicals	1,134	1,465	2,104	2,977	4,281
-Others	68	69	98	111	124
COGS	(5,768)	(7,299)	(10,679)	(12,095)	(12,235)
Gross profit	2,079	2,340	4,032	4,324	5,446
-Lithium-ion battery chemicals	627	730	1,919	1,594	1,833
-Organic fluorine chemicals	934	881	1,062	1,236	1,422
-Electronics chemicals	489	707	1,012	1,448	2,140
-Others	29	22	40	45	50
Sales tax and surcharge	(56)	(70)	(103)	(115)	(124)
Selling expenses	(119)	(149)	(221)	(246)	(265)
Admin expenses	(384)	(432)	(736)	(755)	(813)
R&D expenses	(393)	(502)	(765)	(821)	(884)
Operating profit	1,128	1,187	2,208	2,387	3,359
Finance expenses	(34)	(45)	(76)	(67)	(50)
Impairment - assets	(45)	(57)	(10)	(10)	(10)
Impairment - credit	(22)	(65)	-	-	-
Other income	82	95	-	-	-
Investment income	20	156	400	300	200
Fair value gain/(loss)	(27)	20	-	-	-
Asset disposal gain/(loss)	(0)	(0)	-	-	-
Non-operating income	2	3	-	-	-
Non-operating expenses	(9)	(35)	-	-	-
Profit before tax	1,095	1,261	2,522	2,609	3,500
Income tax	(143)	(162)	(328)	(339)	(455)
Profit after tax	952	1,099	2,194	2,270	3,045
Non-controlling interests	(10)	(2)	(22)	(23)	(30)
Net profit	942	1,097	2,172	2,247	3,015
EPS(Rmb)	1.21	1.43	2.83	2.93	3.93

Balance Sheet					
(Rmb mn)	2024	2025	2026E	2027E	2028E
Cash and bank	2,745	1,138	2,440	3,637	5,081
Accounts and bills receivable	3,504	5,725	6,449	7,198	7,751
Prepayments	59	81	403	450	484
Inventory	997	1,215	2,048	2,320	2,346
Other current assets	943	2,297	2,296	2,296	2,296
Total current assets	8,247	10,456	13,636	15,900	17,959
Investments in asso/JVs	252	713	1,113	1,413	1,613
Other equity instruments	320	203	203	203	203
PPE	4,005	4,582	4,560	4,489	4,371
CIP	1,191	990	1,090	1,090	1,090
Intangible assets	823	780	780	780	780
Goodwills	419	417	417	417	417
Other non-current assets	2,366	1,655	1,655	1,655	1,655
Total non-current assets	9,376	9,341	9,819	10,048	10,130
Short-term borrowings	754	350	350	500	300
Accounts and bills payable	2,922	4,703	5,413	6,131	6,201
Salaries payable	225	246	246	246	246
Tax payable	85	123	123	123	123
Other payable	324	336	336	336	336
Contract liabilities	20	64	878	994	1,006
Short-term portion of long-term	207	143	200	200	200
Other current liabilities	95	117	117	117	117
Total current liabilities	4,630	6,083	7,663	8,647	8,530
Long-term borrowings	595	343	600	600	600
Leased liabilities	11	11	11	11	11
Long-term salaries payable	39	19	19	19	19
Deferred revenue	250	347	347	347	347
DTL	78	56	56	56	56
Total non-current liabilities	2,770	2,461	2,718	2,718	2,718
Share capital	754	752	752	752	752
Capital reserve	3,127	3,151	3,151	3,151	3,151
less: treasury stocks	(200)	(100)	(100)	(100)	(100)
Other comprehensive (loss)/inc	208	164	164	164	164
Special and surplus reserve	379	378	378	378	378
Retained (loss)/earnings	5,483	6,450	8,248	9,735	11,963
Equities to controlling share	9,751	10,795	12,593	14,080	16,308
Non-controlling interests	472	458	480	503	533
Total equities	10,223	11,254	13,073	14,583	16,841

Cash flow statement					
(Rmb mn)	2024	2025	2026E	2027E	2028E
Operating cash flows before working capital changes	1,638	1,777	2,479	2,693	3,598
Chnages in working capital	(820)	(608)	(356)	(233)	(532)
Net cash flows from operating activities	818	1,169	2,123	2,460	3,066
Investing CFs	(720)	(1,543)	(685)	(585)	(585)
-Acquisition of fixed assets and long-term assets	(1,181)	(972)	(690)	(590)	(590)
Free cash flows	(363)	196	1,433	1,870	2,476
Financing CFs	(297)	(1,236)	(137)	(678)	(1,036)
Exchange difference	(2)	2	-	-	-
Beginning cash	3,846	2,745	1,138	2,440	3,637
Net increase/(decrease) in cash	(200)	(1,608)	1,301	1,197	1,445
Change in restricted cash	(902)	2	-	-	-
Ending cash	2,745	1,138	2,440	3,637	5,081

Ratios					
(Rmb mn)	2024	2025	2026E	2027E	2028E
Growth%					
Revenue	5%	23%	53%	12%	8%
-Lithium-ion battery chemicals	1%	31%	61%	5%	-3%
-Organic fluorine chemicals	7%	-7%	22%	15%	14%
-Electronics chemicals	21%	29%	44%	42%	44%
-Others	3%	1%	42%	14%	12%
Gross profit	-4%	13%	72%	7%	26%
-Lithium-ion battery chemicals	-23%	16%	163%	-17%	15%
-Organic fluorine chemicals	-6%	-6%	21%	16%	15%
-Electronics chemicals	47%	45%	43%	43%	48%
-Others	27%	-23%	78%	13%	11%
Operating profit	-1%	5%	86%	8%	41%
Net profit	-7%	16%	98%	3%	34%
Margin					
GP margin	26%	24%	27%	26%	31%
-Lithium-ion battery chemicals	12%	11%	18%	14%	17%
-Organic fluorine chemicals	61%	62%	61%	62%	63%
-Electronics chemicals	43%	48%	48%	49%	50%
-Others	43%	33%	41%	40%	40%
OP margin	14%	12%	15%	15%	19%
NP margin	12%	11%	15%	14%	17%
Return					
ROE	10%	10%	17%	16%	18%
ROIC	9%	9%	17%	17%	21%
Gearing					
Debt/equity	34%	23%	23%	21%	17%
Net debt/equity	6%	13%	3%	-5%	-14%
Operational efficiency					
AR and bills receivable days	163	217	160	160	160
Inventory days	63	61	70	70	70
AP and bills payable days	185	235	185	185	185

Source: Company data, Morgan Stanley Research estimates.

Risk Reward – Shenzhen Capchem Technology Co Ltd (300037.SZ)

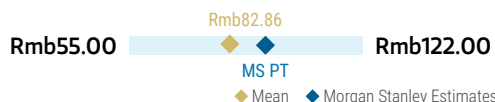
Riding on the Semiconductor Materials Upcycle

PRICE TARGET Rmb93.00

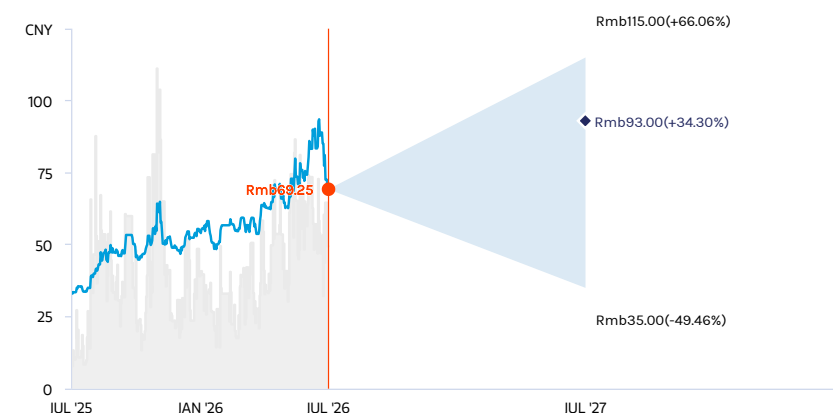
- (1) Electrolyte: 15x 2027e P/E, on par with electrolyte peer Tinci.
 (2) Fluorine chemicals: 30x 2027e P/E, higher than fluorine chemical peers given Capchem's higher-end product mix and higher GPM.
 (3) Electronic chemicals: 40x 2027e P/E, equivalent to 1x PEG over the next three years.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



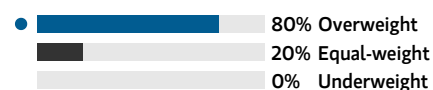
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- In 2026, we expect most of Capchem's earnings growth to come from Capchem's battery electrolyte business, as profitability in its acquired LiPF6 business recovers.
- Beyond 2026, we expect Capchem's growth and valuation drivers to shift from electrolytes to electronic chemicals over the next three years, benefiting from the semiconductor materials upcycle.
- Valuation multiples will also shift, mainly from the electrolyte business to the high-growth and high-margin electronic chemicals business.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*
 Pricing Power: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb115.00

Electrolyte profitability to also sustain

We assume the electronic chemicals business will deliver 50% revenue CAGR over the next three years, while electrolyte profitability remains at 2026 levels.

BASE CASE

Rmb93.00

Electronic chemicals to deliver ~40% revenue CAGR

We expect the electronic chemicals business to deliver revenue CAGR of approximately 40% over the next three years, which supports a re-rating of the segment's valuation multiple to 40x.

BEAR CASE

Rmb35.00

Electronic chemicals deliver ~10% revenue CAGR

We assume electronic chemicals business delivers ~10% revenue CAGR over the next three years. At the same time, we assume profitability in the electrolyte business declines significantly, while the fluorine chemicals business generates only modest growth.

Risk Reward – Shenzhen Capchem Technology Co Ltd (300037.SZ)

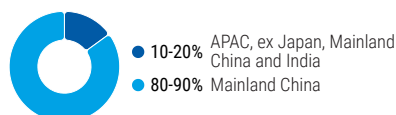
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Chemicals for lithium-ion batteries GP per ton (Rmb)	1,357	2,600	1,800	1,800
Chemicals for lithium-ion batteries Sales volume (000s)	529,313	738,105	885,726	1,018,585
Organic fluorine chemicals (000s)	11,200	13,440	15,456	17,775

INVESTMENT DRIVERS

- (1) Electrolyte market share
- (2) Electrolyte per ton profit
- (3) Earnings growth from fluorine chemicals and semiconductor chemicals

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- (1) Delayed capacity additions of peers
- (2) R&D efforts enhance bargaining power and business model
- (3) Fluorine chemicals and wet electronics chemicals generate higher than expected volume growth and profitability.

RISKS TO DOWNSIDE

- (1) Electrolyte unit profit keeps falling
- (2) Industry capacity additions come in ahead of schedule
- (3) Fluorine chemical business' growth is below expectation

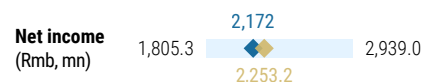
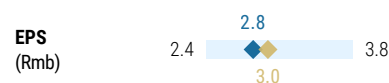
OWNERSHIP POSITIONING

Inst. Owners, % Active 91.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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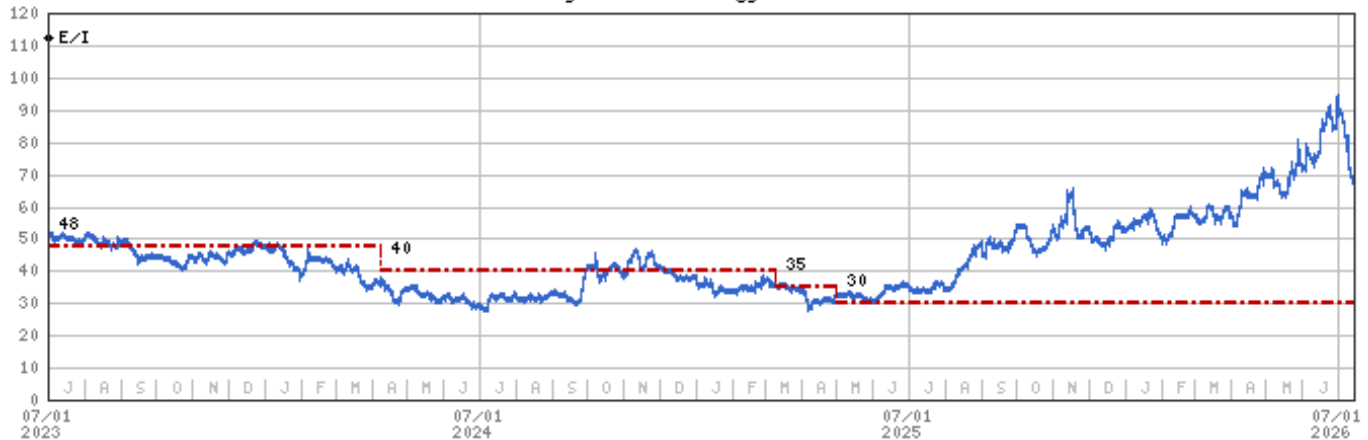
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Stock Price, Price Target and Rating History (See Rating Definitions)

Shenzhen Capchem Technology Co Ltd (300037.SZ) - As of 07/14/26 GMT in CNY
Industry : China Energy & Chemicals



Stock Rating History: 7/6/22 : U/A; 8/18/22 : U/I; 6/7/23 : E/I

Price Target History: 7/6/22 : 36; 4/11/23 : 41; 6/7/23 : 48; 4/9/24 : 40; 3/10/25 : 35; 4/30/25 : 30

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Jack Lu		
Bluestar Adisseo Co (600299.SS)		Rmb7.96
China Oilfield Services Ltd. (2883.HK)	E (03/28/2026)	HK\$6.87
China Oilfield Services Ltd. (601808.SS)	U (03/28/2026)	Rmb11.70
China Petroleum & Chemical Corp. (600028.SS)	E (08/19/2024)	Rmb5.03
China Petroleum & Chemical Corp. (0386.HK)	O (07/29/2025)	HK\$4.19
CNOOC (0883.HK)	O (03/17/2021)	HK\$22.80
Contemporary Amperex Technology Co. Ltd. (300750.SZ)	O (06/25/2025)	Rmb364.01
Contemporary Amperex Technology Co. Ltd. (3750.HK)	O (05/04/2026)	HK\$605.50
EVE Energy Co Ltd (300014.SZ)	E (05/31/2022)	Rmb52.26
Gotion High Tech Co Ltd (002074.SZ)	E (04/17/2023)	Rmb25.05
Guangzhou Tinci Materials Technology Co (002709.SZ)	E (01/08/2026)	Rmb38.17
Hengli Petrochemical Co Ltd (600346.SS)	++	Rmb15.65
Ningbo Ronbay New Energy Technology (688005.SS)	U (10/27/2025)	Rmb25.57
Ningxia Baofeng Energy Group Co., Ltd. (600989.SS)	E (04/15/2026)	Rmb22.03
PetroChina (601857.SS)	O (08/19/2024)	Rmb10.00
PetroChina (0857.HK)	O (03/17/2021)	HK\$9.57
REPT Battero Energy Co (0666.HK)	E (10/20/2025)	HK\$10.95
Rongsheng Petrochemical Co Ltd (002493.SZ)	E (07/29/2025)	Rmb11.29
Shanghai Putailai New Energy Tech Co Ltd (603659.SS)	U (10/27/2025)	Rmb23.90
Shenzhen Senior Technology Material Co (300568.SZ)	E (01/08/2026)	Rmb15.44
Yunnan Energy New Material Co Ltd (002812.SZ)	O (10/27/2025)	Rmb53.70
Kaylee Xu		
Jiangsu Cnano Technology Co Ltd (688116.SS)	U (03/10/2025)	Rmb32.03
Jiangsu Yangnong Chemical (600486.SS)	O (06/12/2026)	Rmb49.47
Shandong Sinocera Functional Material (300285.SZ)	E (03/23/2026)	Rmb70.01
Shenzhen Capchem Technology Co Ltd (300037.SZ)	O (07/14/2026)	Rmb69.25
Sunresin New Materials Co Ltd (300487.SZ)	E (10/25/2024)	Rmb74.00
Wanhua Chemical (600309.SS)	O (04/10/2026)	Rmb69.60
Zhejiang NHU Co. Ltd. (002001.SZ)	E (01/26/2026)	Rmb28.80

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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